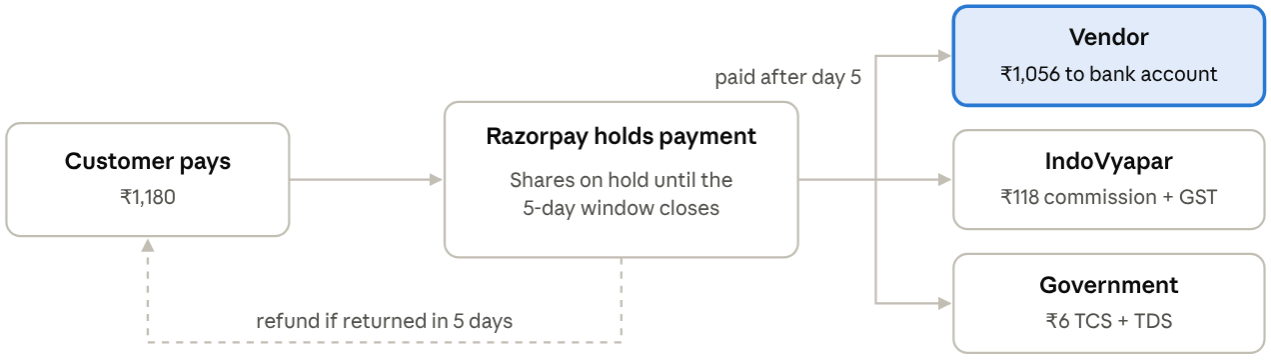
IndoVyapar: How Customer Payments Are Shared With Vendors

Oct 23, 2026 · @Pankaj Kumar Agarwal

Every customer payment will be split automatically: the vendor receives the sale price minus IndoVyapar's commission and government taxes, released once the 5-day exchange and refund window has closed.

How the money moves

Each payment is held, then split three ways after the 5-day window



Payment split · ₹1,180 example

The customer pays once. Razorpay, a licensed payment company, holds the money and splits it automatically, so IndoVyapar never holds vendor money in its own bank account, as Indian payment rules require.

Who gets what

On a ₹1,180 sale, the vendor receives ₹1,056, IndoVyapar keeps ₹118, and ₹6 goes to the government on the vendor's behalf.

Example: one product sold at ₹1,180 including 18% GST, with a 10% commission.

Line	Amount	Goes to
Customer pays	₹1,180.00	
Product price before GST	₹1,000.00	

Line	Amount	Goes to
GST on the product (18%)	₹180.00	Vendor, who pays it to the government in their own GST return
IndoVyapar commission (10% of ₹1,000)	−₹100.00	IndoVyapar
GST on the commission (18%)	−₹18.00	IndoVyapar, which pays it to the government
TCS (0.5% of ₹1,000)	−₹5.00	Government, credited to the vendor
TDS (0.1% of ₹1,000)	−₹1.00	Government, credited to the vendor
Vendor receives	**₹1,056.00**	Vendor's bank account

The vendor can claim back the ₹18, ₹5 and ₹1 in their own tax filings, so none of it is a real cost to them. Commission rate and tax rates shown are examples; final figures are set with your CA.

When vendors get paid

Vendors are paid automatically the day after the 5-day exchange and refund window closes, usually 7 to 12 days after they ship.

1. **Customer pays.** The money goes to Razorpay, our payment partner, not to IndoVyapar's own bank account.
2. **Split is set aside.** Each vendor's share is calculated at once and held safely by Razorpay.
3. **Vendor ships, item is delivered.** The delivery date starts the 5-day window.
4. **5-day window.** The customer can ask for an exchange or a refund. The vendor's share stays on hold.
5. **Window closes with no request.** The hold is released and Razorpay pays the vendor's bank account directly.
6. **Window closes with an open request.** The hold stays until the request is settled (see Use cases).

IndoVyapar never has to transfer money to vendors by hand, and vendors can see each payment's status and expected date in their portal.

Use cases

Twelve everyday situations, using the ₹1,180 example product unless stated otherwise.

#	Situation	Customer	Vendor	IndoVyapar
1	**Normal order.** Delivered, no request in 5 days	Keeps the product	Paid ₹1,056 on day 6	Keeps ₹118
2	**Refund in 5 days.** Customer returns the item, vendor accepts it	Full ₹1,180 back to the original payment method	Nothing; held share is cancelled	Commission cancelled (or a small return fee, if you choose)
3	**Exchange, same price.** Wrong size, swapped for another size	Gets the replacement, pays nothing extra	Paid ₹1,056 after the replacement is delivered	Keeps ₹118
4	**Exchange, higher price.** Swaps for a ₹1,416 model	Pays the ₹236 difference online	Paid for the new item after delivery	Commission on the new price
5	**Exchange, lower price.** Swaps for a ₹944 model	Gets ₹236 back	Paid for the cheaper item after delivery	Commission on the new price
6	**Exchange not possible.** Replacement out of stock	Treated as a full refund (case 2)	Nothing	Commission cancelled
7	**Partial return.** Bought 2 units, returns 1	₹1,180 back for one unit	Paid for the unit kept	Keeps commission on the unit kept
8	**Order from two vendors.** One cart, items from Vendor A and Vendor B	Pays once	Each vendor is paid only for their own items, on their own delivery date	Commission from each vendor
9	**Cancelled before shipping**	Full refund within the bank's usual time	Nothing	Nothing
10	**Return rejected.** Item comes back used or damaged	Can appeal to IndoVyapar support	Paid once the rejection is confirmed	Keeps ₹118

#	Situation	Customer	Vendor	IndoVyapar
11	**Vendor does not respond.** No decision on a return within 2 days of receiving it	Refund approved automatically	Nothing	Commission cancelled
12	**Request after 5 days.** Customer asks on day 8	Not eligible; IndoVyapar may make a goodwill exception	Already paid; a goodwill refund is recovered from the vendor's next payout	Decided case by case

Second exchanges: an exchanged item is not exchanged again. If the replacement is faulty, the customer can still get a refund.

No-return products (for example innerwear or perishables): vendors are paid the day after delivery, as there is no window.

Taxes

The platform calculates, deducts and reports every tax automatically, so IndoVyapar and its vendors stay compliant with Indian GST and income-tax rules.

Tax	What it is	Who pays it	Rate (to confirm with CA)
GST on the product	Tax already included in the selling price	Vendor, as the seller	As per product, e.g. 5%, 12%, 18%
GST on commission	Tax on IndoVyapar's service to the vendor	Vendor pays, IndoVyapar files it; vendor claims it back	18%
TCS	Tax that marketplaces must collect from vendor sales under GST	Deducted from vendor payout; vendor claims it back	0.5%
TDS	Income tax that marketplaces must deduct on vendor sales	Deducted from vendor payout; vendor claims it back	0.1% (5% if the vendor has no PAN)

- **Same-state or other-state:** GST and TCS are split as CGST + SGST when vendor and customer are in the same state, or IGST when they are in different states. This is worked out automatically.
- **Returns reduce tax:** because vendors are paid after the return window, TCS and TDS are only charged on sales that were actually kept.
- **Monthly filings:** IndoVyapar receives ready-to-file reports for its TCS return (GSTR-8) and TDS return, plus the certificates vendors need.

What vendors and customers see

Everyone can see where their money is at any time, without contacting support.

Who	What they get
Vendor	Per-order breakdown of sale, commission, taxes and payout; status (on hold, paid, refunded) and expected payout date
Vendor	Monthly statement, commission invoice from IndoVyapar, and TCS/TDS certificates for their tax filings
Vendor	Notifications when a return or exchange is raised, when a decision is due, and when money is paid
Customer	A GST invoice from the vendor for every order
Customer	An "Exchange or return" button on the order with a countdown, e.g. "Available till 28 Oct"
Customer	Refund and exchange status updates by SMS, email and in the app
IndoVyapar team	One dashboard of payments, payouts on hold, refunds, commission earned and taxes due, checked daily against Razorpay

Pay on delivery, when vendors deliver

Vendors deliver orders themselves, and customers can pay at the door in cash or by UPI. UPI payments are split automatically like online orders; for cash, the vendor keeps the money and IndoVyapar collects its share from the vendor.

Who gets what

	Paid online	UPI at the door	Cash at the door
How the customer pays	Online at checkout	Scans the order's QR code on the delivery person's phone	Cash to the delivery person
Where the money goes	Razorpay, held 5 days	Razorpay, held 5 days	Vendor's pocket
IndoVyapar's share (₹118)	Kept automatically	Kept automatically	**Vendor owes it**
TDS (₹1)	Deducted automatically	Deducted automatically	**Vendor owes it**
TCS (₹5)	Deducted	Deducted	Likely not applicable, as IndoVyapar does not collect the money (CA to confirm)
Vendor ends up with	₹1,056	₹1,056	₹1,061

How IndoVyapar collects its share on cash orders

1. **Offset against online payouts.** Cash-order dues are subtracted from the vendor's next payout. Example: ₹1,056 due to the vendor minus ₹119 owed on a cash order = **₹937 paid**.
2. **Automatic debit.** If dues exceed payouts, the balance is debited from the vendor's bank on settlement day, using a one-time UPI AutoPay or bank mandate signed at onboarding.
3. **Payment link.** Without a mandate, the vendor gets a link to pay within 7 days.
4. **Limits.** Dues unpaid after 7 days switch off cash for that vendor (UPI and online still work). After 30 days, their products are hidden until they pay.
5. **Cash limit.** Each vendor can owe up to an agreed amount, for example ₹25,000, before new cash orders pause.

Returns and exchanges on pay-on-delivery orders

The same 5-day window applies to every order.

Situation	What happens
No request in 5 days	Cash order: commission becomes due from the vendor. UPI order: vendor is paid as normal.
Refund within 5 days	Customer gets the money back in their UPI or bank account within 2–3 days of the return being accepted. Cash orders: the amount is recovered from the vendor. No commission is charged.
Exchange, same price	No money moves; commission applies once the replacement is delivered
Exchange, higher price	Customer pays the difference by cash or UPI at the door
Exchange, lower price	Difference refunded to the customer's UPI or bank

Making sure deliveries are genuine

- **Delivery code:** the customer gets a 4-digit code and gives it to the delivery person. An order is marked delivered only with the right code, which also starts the 5-day window.
- **Customer check:** after delivery, the customer gets a message asking them to confirm they received the order and how much they paid, with one tap to report a problem.
- **Refused deliveries:** if a vendor marks an order as refused, the customer is asked to confirm. Customers who refuse often lose the pay-on-delivery option.
- **Vendor record:** disputes and late dues are tracked and used to set each vendor's cash limit.

Vendors see one balance combining both sides, for example "Online earnings ₹X − cash-order dues ₹Y = payout ₹Z", or "Amount due ₹Z by 15 Nov". Adding pay on delivery extends the rollout by about 3–4 weeks.

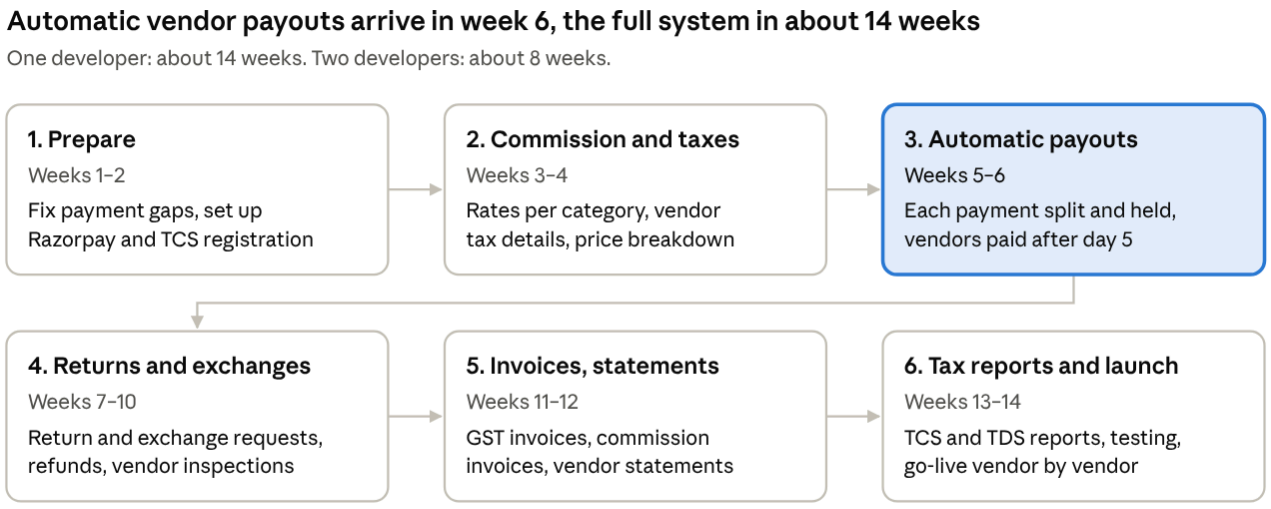
Decisions we need from you

These business choices shape the setup and should be agreed before work starts.

- [ ] **Commission rates:** one rate for all, or different rates per category? Any special rates for specific vendors?
- [ ] **Commission basis:** on the price before GST (recommended) or on the full price?
- [ ] **Discount coupons:** who bears the discount, IndoVyapar or the vendor? Can it differ per coupon?

- [ ] **Payment gateway charges (about 2%):** absorbed by IndoVyapar or deducted from vendors?
- [ ] **Returns:** does IndoVyapar keep a small handling fee when a product is returned?
- [ ] **Delivery confirmation:** recommended: confirmed by a 4-digit code the customer gives the delivery person.
- [ ] **Cash on delivery:** decided: vendors deliver, and customers can pay by cash or UPI at the door. Still to agree: each vendor's cash limit, weekly or monthly settlement, and whether a security deposit is needed.
- [ ] **Vendors without GST registration:** allowed (within their own state only) or GST required for all?
- [ ] **Paperwork:** IndoVyapar's TCS registration, Razorpay approval for split payments, and an updated vendor agreement covering commission, deductions and payout timing.

Rollout



Rollout · 6 phases, about 14 weeks

Work starts once the decisions above are agreed. Razorpay's approval for split payments and IndoVyapar's TCS registration can take a few weeks, so we recommend applying straight away.